

Accounting and Finance Sene 2016 E. Exit Exam

የመውጫ ፈተና!

EXIT
EXAM



1) Which one of the following is not among the method/approach of deriving fair value?

- A) Income approach
- B) Cost approach
- C) Market approach
- D) Entry price approach

D

2) The primary function of commercial banks is to:

- A) Provide short-term loans to businesses
- B) Offer investment products like stocks and bonds
- C) facilitate international trade finance
- D) accept deposits and offer checking and savings accounts

D

3) Which one of the following is not characteristics a good tax system?

- A) Direct benefit to tax payers
- B) Tax is a compulsory contribution
- C) Common benefits to all
- D) Taxes are levied by the government

A

4) Which of the following definition is applied for simple random audit sampling?

- A) A probabilistic method of sampling in which the auditor calculates an interval and selects the items for the sample based on the size of the interval
- B) A non probabilistic method of sample selection in which items are selected in measured sequences.
- C) A non-probabilistic method of sample selection in which items are chosen without regard to their size, source, or other distinguishing characteristics
- D) A sample in which every possible combination of elements in the population has an equal chance of constituting the sample

D

5) All of the following are a source of fund for insurance companies. Except

- a. Premium
- b. Contributed capital
- c. Indemnity
- d. Investment income

C

6) Which of the following statement describes the cost-recovery method in the long-term contract revenue?

- A) Recognizes revenues, costs, and gross profit as a company makes progress toward completion
- B) It can reasonably estimate its progress toward satisfaction of the performance obligations.
- C) It accumulates construction costs plus gross profit recognized to date in an inventory account.
- D) Recognizes revenue only to the extent of costs incurred that are expected to be recoverable

D

7) A project with a shorter payback period is generally considered:

- a. depends on the discount rate
- b. Less risky
- C. has no bearing on risk
- d. More risky

B

8) Which account will increase proportionately with sales in financial forecasting process

- a. Fixed assets
- b. Inventory
- c. Long term debt
- d. Common stock

B

9) Which of the following types of audits deals with determining whether the financial statements are stated in accordance with international financial reporting standard

A) internal Audit

B) Compliance Audit

C) Operational Audit

D) Financial statement Audit

D

10) Montana Mining Co. acquired mineral rights for \$120,000,000. The mineral deposit is estimated at 200,000,000 tons. During the current year, 31,155,000 tons were mined and sold. Determine the amount of depletion expense for the current year.

a. \$18,693,000

b. 18,690,000

c. 18,600,000

d. \$20,000,000

A

$$\text{Depletion} = \frac{\text{Cost} - \text{sv}}{\text{Estimated amount}}$$

$$\frac{120,000,000 - 0}{200,000,000}$$

$$= 0.6$$

$$\text{Depletion} = 0.6 * 31,155,000 = 18,693,000$$

11) Which one of the following terms is applied to the potential benefit of one alternative that is lost by choosing another?

- a. Opportunity cost
- b. Differential cost.
- c. Alternative cost.
- D. Sunk cost

A

12) Cash received from interest revenue is classified on the statement cash flow as:

- A) Investing cash flow only
- B) Financing cash flow only
- C) operating cash flow only
- D) Either operating or Financing

D

- **13) What is the recoverable amount of an asset ?**
- A) The amount at which an asset could be bought or sold in a current transaction between willing parties
- B) The fair value of an asset
- C) The higher of an asset's fair value less cost of disposal and its value in use
- D) The Net realizable value of an asset

C

14) Which one of the following is primarily interested in the liquidity of a company?

- A) Government agencies
- B) Long-term creditors
- C) Short-term creditors
- D) Shareholders

C

15) The present value of \$10,000 to be received five years from today, assuming a discount rate of 9% compounded monthly, is closest to

• A). \$6,897.20

• B) \$6,499.31

• C) \$8416.34

• D) 6,387.78

D

$$PV = \frac{FV}{(1+i)^n}$$

$$\frac{10000}{(1+0.0075)^{60}}$$

$$0.09/12 = 0.0075$$

$$5 * 12 = 60$$

$$6387.78$$

16) What the bank statement will not shows?

- A) Checks paid and other debits (such as direct withdrawals) from depositor's account
- B) Account balance after each transactions
- C) Deposit in transit
- D) Deposits and other credits that increase the balance in the depositor's account

C

17) The area of finance that deals with long-term investment decisions is known as

- A) capital budgeting
- B) capital structure
- C) working capital management
- D) financial strategy

A

18) Which of the following is identified as the documents and records used for sales class of transaction in the Sales and collection cycle

- A) Cash receipts journal
- B) Sales journal
- C) Remittance advice
- D) General journal

C

19) If a corporation reacquires its own stock, the stock is listed on the balance sheet in the:

- A) Long-Term Liabilities section
- B) Current Assets section
- C) Investments section
- D) Stockholders Equity section

D

20) If a principal auditor decides to refer in his or her report to the audit of another auditor, he or she is required to disclose which of the following!

- A) Portion of the financial statements audited by the other auditor

A

- B) Name of the others auditor.

- C) Nature of the inquiry into the other auditor's professional standing

- D) Reasons for being unwilling to assume-responsibility for the other auditor's words

21) All of the following correctly state the objectives of financial reporting by public sector entities in IPSAS conceptual framework except

- A) To provide useful information for accountability purposes and for decision-making purposes.
- B) To provide information about the entity that is useful to users of General Purpose Financial Reports (GPRS)
- C) To provide information about the entity that is useful to users of special Purpose Financial Reports (SPFRs)
- D) The objective is determined by reference to the users of General purpose financial reports, and their information need

22) Expenses that are specifically identified with a program or function are reported in the government-wide statement of activities as

- A) Direct expenses.

Direct expenses are those that can be clearly linked to a specific program or function within the government.

- B). Specific expenses.

They are directly associated with the service or activity being delivered.

- C) Incremental expenses.

A

- D). Program expenses.

23) Which of the following statements is true regarding the reporting of gains or losses due to changes in exchange rates in the income statement?

- A) They are recorded directly in retained earnings.
- B) They are disclosed in the footnotes to the financial statements.
- C. They are always reported as operating expenses.
- D . They are reported as part of other comprehensive income.

D

Exchange rate gains or losses can be reported in two main places in the financial statements:

•**Profit or Loss:** This is the more common place for these gains or losses, especially for **monetary assets and liabilities**. It reflects the immediate impact on the company's profitability due to currency fluctuations.

•**Other Comprehensive Income (OCI):** Some **non-monetary items** affected by exchange rates might be reported here depending on the accounting standard being used (e.g., IFRS). OCI captures certain gains or losses that aren't considered part of core operations.

24) Which of the following statement demonstrates the transaction Related Audit Objectives of completeness for cash disbursement transaction

- A) Cash disbursement transactions are recorded on the correct-dates
- B). Recorded cash disbursement transactions are accurate
- C) Recorded cash disbursements are for goods and services actually received
- D) Existing cash disbursement transactions are recorded **D**

25) Identify the reason for formation of joint arrangement?

- A) It gives the executives to get bonuses on their achievement
- B) It gives opportunity to gain new capacity and expertise
- C) It minimizes the amount tax paid by decreasing shared risks
- D) It gives opportunity to get land from the government

B

26) If taxes for payment of interest and principal on long-term debt are recorded directly in the debt service fund, they are budgeted as what of the debt service fund?

- A). Inter-fund transfers in
- B) As estimated revenues.
- C). Revenues
- D). Estimated other financing source

B

27) How is goodwill calculated in the consolidated financial statements on the date of acquisition?

- A) The fair value of the acquired company's tangible assets
- B) The historical cost of the acquired company
- C). The book value of the acquired company
- D) The excess of consideration transferred over the fair value of net identifiable assets acquired

D

28) Which of the following Proprietary fund is used to account for the production and distribution of centralized goods and services that are provided to agencies of the government

- A) Internal service Fund

- B) General Fund

- C) Debt service Fund.

- D) Enterprise Fund

A

29) All of the following methods of allocating joint costs to joint products indicates use of market based measures except

- A. Sales value at split off
- B. Net realizable value method
- C. Physical measure method
- D. Constant gross-margin percentage NRV method

Joint Cost Allocation Methods

Two methods are used to allocate joint costs.

- Market-Based – allocate using market-derived data such as revenues.:
 1. Sales value at split off
 2. Net Realizable Value (NRV)
 3. Constant Gross-Margin percentage NRV
- Physical Measures – allocate using tangible attributes of the products, such as pounds, gallons, barrels, etc

30) Deductible temporary difference can be created when:

- A) Tax base of the liability greater than carrying amount of the liability
- B) Tax base of the liability greater than carrying amount of the asset
- C) Tax base of the asset less than carrying amount of the liability
- D) Tax base of the asset greater than carrying amount of the liability

D

General Rules Around Temporary Differences

	Deductible Temporary Differences	Taxable Temporary Differences
	Differences that result in amounts that are deductible in determining taxable income of future periods	Differences that result in amounts that are taxable in determining taxable income of future periods
Give rise to:	Deferred Tax Assets	Deferred Tax Liabilities
Generally arise when:		
1. Differences result in:	Taxable Income > Accounting Income	Taxable Income < Accounting Income
2. Assets:	Tax Base > Carrying Amount	Tax Base < Carrying Amount
3. Liabilities:	Carrying Amount > Tax Base	Carrying Amount < Tax Base

31) How trade receivables are typically classified on the statement of financial position?

- a. As intangible assets
- b. As current assets
- D. As non-current asset
- Od. As current liabilities

B

32) Which defense mechanism involve the target company making itself less attractive by taking on excessive debt or engaging in unfavorable financial transactions?

- A) Scorched earth
- B) Poison pill
- C) Golden handshake
- D) Crown jewel

A

33) Which of the following characteristics of provision is different from other current liabilities?

- A) liability of uncertain timing or amount which isn't recognize in financial statement.

B

- B) liability of uncertain in timing or amount which is recognized in financial statement as current
- C) Liability of uncertain in Timing but not in amount and which isn't recognize in financial statement
- D) liability of uncertain in Timing but not in amount and which is recognize in financial statement as current

34) A payment of cash for the previous purchase of goods or services on credit should be recorded in the

- A) Cash receipts journal.
- B) Revenue journal.
- C) Cash payments journal
- D) Purchases journal

C

35) Which of the following features applies to a company uses a job costing system

- A) Production is continuous
- b. Low product standardizing
- C. Diverse products and services
- d. Routine, repetitive procedures

C

36) Consumable Biological Assets measured at the end of each reporting period prior to harvest with its

- A) land and other assets used
- B) agricultural produce.
- C) Bearer plant asset with it
- D) Inventory used

B

37) Which of the following benefits can be acquired if the securities markets have been created in Ethiopia?

- A) Securities markets break the oligopoly that would be enjoyed by the banks in the absence of securities markets
- B) Reduces the control of accounting and auditing standards.
- C) Capable of reducing the capital amount needed for project due demand for private
- D) Reduces amount of savings

C

38) What is the purpose of a credit rating agency?

- A) managing government debt
- B) regulating financial institutions
- C) setting interest rates for loans
- D) assessing the creditworthiness of borrowers

D

39) According to the double entry accounting system, every transaction at least affects

- a. Two accounts: one debit and one credit..
- b. Four accounts; two debit and two credit
- c. One account only
- d. Three accounts: one debit and two credit

A

40) Bole Ltd. issues Birr 500.000 of 10% bonds, due in 10 years with interest payable semiannually. At the time of issue, the market rate for such bonds is 8%. What is the premium amount for bond price issues ?

- A. 25,000
- B. 62,951.63
- C. 67,951.63
- D. 50,000

C

$$\frac{567951.63}{\text{Bond price}} = 25000 \times \left[\frac{1 - \frac{1}{(1+0.04)^{20}}}{0.04} \right] + \frac{500000}{(1+0.04)^{20}}$$

$$25000 = 500000 \times \frac{0.1}{2}$$

$$0.04 = \frac{0.08}{2}$$

$$20 = 10 \times 2$$

41) Which of the following journal entry applied to record the adjustment of agency sample inventory to net realizable value?

- a. Sample inventory-agency debited and credited merchandise inventory
- b. Advertising expense debited and credited to sample inventory-agency
- C. Sample inventory-agency, debited and credited advertising expense
- d. Merchandise inventory debited and credited to sample inventory-agency

B

42) Which of the following is a reason for Capital project fund-used?

- A. For the financing of goods or services provided by one department or agency to other fund.
- b. Used to account for assets held by a governmental unit in a trustee capacity.
- C. Used to report any activity for which a fee is charged to external users for goods or services
- d. To be used for the acquisition or construction of major capital facilities

D

43) Identify the accounting method used in the joint venture by joint venturer?

- A) Amortization method
- B) Cost method
- C) Equity method
- D) Revaluation method

C

44) Which of the following funds follow accounting and financial reporting principles that are similar to those for commercial business entities

- A) Government Fund
- B) Proprietary fund
- C) Permanent Fund
- D) Fiduciary Fund

B

45) Under periodic inventory system, when merchandise inventory sold are recorded?

- A) After each sale
- B) Whenever physical inventory counts are conducted
- C) At the end of the accounting period
- D) Inventory purchases are not recorded under the periodic system

C

46) What is the process of allocating the cost of intangible assets to expense?

- A) Amortization
- B) Valuation
- C) Depreciation
- D) Depletion

A

47) Which of the following organizations best meet the criteria to be classified as a governmental not-for-profit organization?

- A) A religion affiliated university.
- B) A Church
- C) A privately founded museum.
- D). A public school district.

D

48) In Audit Sampling for Test of Control and Substantive Test of Transactions, specifying tolerable exception rate is performed **in**

- A) Evaluate the Results step
- B) Analyze exceptions step
- C) Select the Sample and Perform the Audit Procedures step
- D) Plan the Sample step

D

During the planning stage of an audit, auditors establish various risk assessments, including tolerable exception rates. This rate signifies the maximum acceptable percentage of deviations from a control or transaction that they are willing to tolerate without questioning the effectiveness of the control (TOC) or the validity of the financial statements (STT).

By specifying the tolerable exception rate during the planning stage, auditors can then determine an appropriate sample size for their testing procedures in the "Select the Sample and Perform the Audit Procedures" step. A higher tolerable exception rate allows for a smaller sample size, and vice versa.

49) Which of the following is a characteristic of a partnership form of business organization?

- A) Single owner with full control
- B) Combined capital and managerial talent of two or more persons
- C) limited liability for the owners
- D) A business owned and operated by a single individuals

B

50) In business combination the company whose business is being sought is referred to as

- A) Purchase company
- B) Target company
- C) Acquiring Company.
- D) Merger company

B

51) Which of the following describes the objective of audit of financial statements?

- a. To provide a limited level of assurance that the information subject to review is free material geomaterial misstatement.
- b. To provide a report of the factual findings of the engagement agreed by the auditor, entity appropriate third parties. and any **C**
- c. To express an opinion on whether the financial statements are prepared in accordance with an applicable financial reporting framework.
- d. To use an auditor's accounting expertise to collect, classify and summarize financial information.

52) Company P acquires 100% of the outstanding shares of company Q for Birr 1,000,000, On the date of acquisition company Q's identifiable net assets have a fair value of Birr 800,000. What is the total equity reported in the consolidated statement of financial position on the date of acquisition?

- A) Birr 800,000
- B) Birr 1,200,000
- C) Birr 1.400.000.
- D) Birr 1,000,000

D

Total Equity = Fair Value of Net Assets + Goodwill

Total Equity = Birr 800,000 (fair value) + Birr 200,000

(goodwill) *Total Equity* = Birr 1,000,000

53) What makes both public and private finance similar?

- a. Adjustment approach of income and expenditure
- b. Motives
- C. Satisfaction of human wants
- d. Secrecy of budget

C

54) Which one of the following is true about Activity Based Costing system? It

- a. Is designed to be used for internal decision making.
- -b. ABC uses a single rate to assign Overhead costs
- c. Provides data for external reports.
- d. Focuses on departments rather than activities.

A

55) Which one of the following is not source of revenue assigned to regional government in Ethiopia?

- a. Income tax collected from employees of the federal government and international organizations
- b. Profit and sales taxes collected from individual traders operating within state territories
- c. Income taxes collected from employees of the regional States and of private enterprises
- d. Taxes collected from rent of houses and regional state government owned properties

A

56) A company produced 3,000 defective music players. The players cost Birr 12 each to produce. A recycler offers to purchase the defective players "as is" for Birr 8 each. The defects can be reworked for Birr 10 each and the players then sold at their regular market price of Birr 19 each.

• The company should follow which of the following decisions?

• A) Sell 1,000 to the recycler and rework the rest.

$3000 \times 8 = 24000$ Birr for sale at 8\$

Reworking cost = $3000 \times 10 = 30000$

• B). Sell 2,000 to the recycler and rework the rest.

Sale at 19 = $3000 \times 19 = 57000$

• C). Sell the players to the recycler for \$8 each

Incremental revenue = $57000 - 30000 = 27000$

• D. Rework the players and sell at the regular price.

Rework and sale provide More revenue = 3000 birr

D

57) Which one of the following explains the meaning of the International standards on auditing that requires the auditor be independent?

- a. The auditor's sole obligation is to third parties.
- b. The auditor must be without bias with respect to the client under audit.
- c. The auditor may have a direct ownership interest in the client's business.
- d. The auditor must adopt a critical attitude during the audit.

B

58) ABC Inc. purchased land and building from XYZ Corporation for a cash payment of Br. 480.000. The estimated fair values of the assets are land Br. 220,000, and building Br. 280.000. At what amounts should each of the assets be recorded, respectively?

• A) Br. 211,200, Br. 268,800

• B). Br. 220.000, Br. 280.000.

• C. Br. 480.000, Br. 480,000

• D. Br. 240.000, Br. 240.000

A

	Fair Value
Land	220,000
Building	<u>280,000</u>
Total	500,000

$$\frac{220000}{500000} * 480000 = \underline{211,200}$$

$$\frac{280000}{500,000} * 480000 = \underline{268,800}$$

Land ,.....	211200
Budling ..	268800
Cash.....	480,000

59) The formula to determine the cost of goods manufactured is:

- A) Beginning work in process inventory + total manufacturing costs - Ending finished goods inventory.
- B) Beginning work in process inventory + Total manufacturing costs - Ending work in process inventory
- C) Beginning raw materials inventory + Total manufacturing costs - Ending work in process inventory
- D) Beginning finished good inventory + Total manufacturing costs - Ending finished goods inventory.

B

60) A firm has a Degree of operating leverage of 5.5. What does this tell us about the firm?

- a. If sales rise by 1%, then EBIT will rise by 5.5%

- b. If sales rise by 5.5%, then EBIT will rise by 1%

- c. If EBIT rises by 5.5%, then EPS will rise by 5.5%

- d. If EBIT rises by 1%, then EPS will rise by 5.5%

A

Degree of Leverage

1) Degree of Operating Leverage (DOL)

– Measures the percentage change in operating income (EBIT) produced by a given percentage change in sales

$$DOL_{\text{Quantity}} = \frac{Q(P-V)}{Q(P-V)-F} = \frac{CM}{EBIT}$$

OR, based on unit sales,

$$DOL_{\text{Sales}} = \frac{S-VC}{S-VC-F}$$

61) Cameron Industries is expected to pay an annual dividend of \$1.30 a share next month. The market price of the stock is \$24.80 and the growth rate is 3 percent. What is the firm's cost of equity?

- a. 7.91 percent

$$\text{Cost of equity} = \frac{D1}{P_0} + g$$

- b. 7.58 percent

- c. 8.24 percent

C

- d. 8.76 percent

62) Which of the following is not aim of financial regulation applied in the finance?

- a. Enforcing applicable laws
- b. Licensing providers of financial services
- c. Protecting owners by minimizing healthy competition
- d. Maintaining confidence in the financial system

C

63) A company predicts its production and sales will be 24,000 units. At that level, its fixed costs are budgeted at Ber 300,000, and its variable costs are budgeted at Birr 246,000. If its activity level declines to 20,000 units, what will be its budgeted fixed and variable costs?

- a. Fixed, Birr 250,000; variable, Birr 205,000

$$VC/Unit = 246000/24000 = 10.25$$

- b. Fixed, Birr 250,000; variable, Birr 246,000

$$10.25 * 20000 \text{ unit} = 205000$$

- c. Fixed, Birr 300,000; variable, Birr 205,000

$$\text{Fixed cost is constant} = 300,000$$

- d. Fixed, Birr 300,000; variable, Birr 246.000

C

64) Company A, based in the United States, enters into a forward contract to purchase inventory from a supplier in Europe for €100,000. The forward contract specifies an exchange rate of 1 EUR = 1.25 USD. When the inventory is received, the spot rate is 1 EUR = 1.3 USD. What amount should company A record as the cost of inventory in USD?

- a. \$100,000
- b. \$130,000
- c. \$125,000
- d. \$80,000.

C

Inventory1.25*100,000..125000
Ap.....125000

A forward contract is a customized agreement between two parties to buy or sell an asset at a predetermined price on a specific future date.

• **65) When should a company recognize revenue from the sale of good and service ?**

- A) When the customer places order
- B) When the good or service are delivered to the customer
- C) When the customer pay for the good and service
- D) When the company receives a purchase order

B

66) Which one of the following is true about business entity concept?

- a. An entity is organized according to state or federal statutes.
- b. An entity is organized according to the rules set by the FASB
- c. The owner is the entity.
- d. The entity is an individual economic unit separate and apart from its owners

D

67) A corporation can be issued or sold when an organization needs to borrow money for its short term needs

- a Letter of credit
- b. Commercial paper
- c. Treasury bill
- d. Bond

B

68) According to Walter's dividend relevant theory, what would be the optimal dividend payout ratio when internal rate of return on its investment greater than cost of capital?

- a. 25 percent
- b. 0 percent
- c. 100 percent
- d. 75 percent

B

•**Internal Rate of Return (r):** This is the discount rate that makes the net present value (NPV) of all a project's cash flows equal to zero. It represents the return on investment a company expects to generate from its projects.

•**Cost of Capital (k):** This is the minimum rate of return that investors expect to receive on their investment in the company. It considers the cost of debt and equity financing.

Walter's theory suggests that a company should prioritize reinvesting its earnings back into profitable projects with an $r > k$. This allows the company to:

69) Assume that on January 9 a corporation issues 10,000 shares of \$36 par value common stock at \$40 a share. The entry that the company makes to record the transactions of January 9 would be:

- a. debit to common stock for 36,000, and debit to paid in capital for \$4,000

- B. credit to common stock for 36,000

Cash 40,000

Common stock 36000
Paid in capital4000

- c. credit to common stock for 36,000, and credit to paid in capital for \$4,000

- d. A. credit to common stock for 40,000

C

70) Company A acquires 95% of the outstanding shares of company B in a business combination. How should the controlling interest (NCI) be presented in the consolidated financial statements?

- a. As an expense in the statement of profit or loss.
- b. As a separate line item in the equity section of the statement of financial position
- c. As revenue in the statement of profit or loss
- d. As a liability on the statement of financial position

B

71) All of the followings are factors involved in depreciation process, except:

- a. Depreciable base
- b. Selling price of old plant asset
- c,. Asset's useful life
- d. Methods of depreciation

D

72) On January 1, 2012, Elleni Company acquires Br. 200,000 of Wako, Inc., 8% bonds at price off 210,692.05. The interest is payable each December 31, and the bonds mature December 31, 2014 The investment will provide Morgan Company a 6% yield. The bonds are classified as held-for-collection What is the amount of Bond premium Amortization recorded on December 31, 2012 if it uses interest effective method?

- a. Br. 3,358.48-

Year	Cash received	Effective interest rate	Amortization	Ending caring value
0				210692.05
Dec 31	16,000	12641.53	3358.47	207333.58

- b. Br. 1,600

Cash Paid = $200,000 * 0.08 = 16000$

Effective interest rate = $210692.05 * 0.06 = 12641.53$

- c. Br. 2,000

A

- d. Br. 2,106.92

73) Derivatives are primarily used for:

- a. Increasing the money supply
- b. Managing risk (hedging) and speculation
- c. Long-term investment strategies
- d. Simplifying the trading process

B

74) Which of the following equity investment classification is used to apply equity method?

- a. Holdings between 20% and 50% of equity
- b. Holdings less than 20% of equity and trading
- c. Holdings less than 20% of equity and non-trading
- d. Holdings more than 50% of equity

A

75) Which of the following is a characteristic of financial information that ensures it is capable of making a difference in decision-making?

- a. Timeliness
- b. Understandability
- C. Relevance
- d. Verifiability

C

76) When preparing consolidated financial statements on the date of acquisition, how are intercompany transactions treated?

- a. Included in the parent's statement of profit or loss.
- B. Recorded as revenue for the subsidiary.
- C. Eliminated in full.
- D. Ignored completely.

C

77) Decision model to calculate optimal quantity of inventory to be ordered is called:

- a. Economic order quantity
- b. Lead time costing
- c. Rational order quantity
- d. Efficient order quantity

A



Economic Order
Quantity Formula

$$= \sqrt{\left(\frac{2SD}{H} \right)}$$

78) Addis Company issued 1,000 shares on 1 June 2009 to pay for the purchase of inventory to let the supplier choose between cash and share. This is classified as:

- a. Asset-settled share based payment
- b. Cash-settled share based payment.
- C. Equity-settled share based payment
- d. Share-based payment transactions with cash alternatives

D

79) The following are the main sources of Tax Revenue in Ethiopia, except:

- a. Not tax at all in Ethiopia
- b. Tax on commodities
- c. Tax on Income
- d. Tax on property

A

80) Which one of the following will most likely indicate the existence of related parties?

- a. Failing to correct deficiencies in the client's internal control.
- b. Borrowing money at a rate significantly below the market rate.
- c. An unexplained increase in gross margin.
- d. Writing down obsolete inventory prior to year end.

B

81) All of the following are fiduciary funds except:

- a. Pension trust fund.
- b. Permanent fund.
- c. Investment trust fund.
- d. Agency fund.

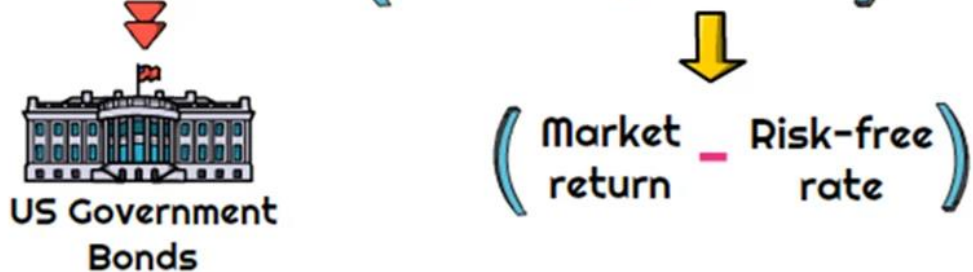
B

82) Which one of the following is the formula that explains the relationship between the expected return on a security and the level of that security's systematic risk?

- a. time value of money equation
- b. Capital asset pricing model
- c market performance equation
- d. unsystematic risk equation

Capital Asset Pricing Model ("CAPM")

$$\text{Cost of retained earnings} = \text{Risk-free rate} + \left(\text{Beta} \times \text{Market risk premium} \right)$$



US Government Bonds

(Market return - Risk-free rate)

B

83) Which of the following methods assumes that the first inventory purchased is the first inventory sold

- A) FIFO
- B) LIFO
- C) Weighted Average
- D) Specific identification

A

84) Ethiopian civil service University pays the salary of its employees according to the Ethiopian calendar month. The fourth coming data relates to the month of Sene 2016. Getane Mamo is the permanent employee of the organization

S/No	Basic salary	Allowance	
045	9200 Birr	Transportation 1250	Home 1500

- Determine the amounts total deduction required by the government to be deducted mandatory from Mr. Getane earning based on the above given information and newly amended employment income tax proclamation in 2016

- A) 2685 birr
- B) 2899 Birr
- C) 2255 Birr
- D) 644 Birr

B

$$\begin{aligned}\text{Gross earning} &= 9200 + 1250 + 1500 \\ &= 11950\end{aligned}$$

$$\text{Taxable income} = 11950 - 1250 = 10700$$

$$\text{Tax} = 10700 \times 0.3 - 955 = 2255 \text{ Birr}$$

$$\text{PC} = 9200 \times 0.07 = 644$$

$$\text{Total deduction} = 644 + 2255 = 2899$$

85) A store has the following budgeted sales for the next three month

	January	February	March
Budgeted sale (Birr)	100000	200000	400000

Cash sales are 20% of total sales in the month of the sales and all credit sales are expected to be collected in the month following the sale. The total amount of cash expected to be received from customers in February is

A) 200000 Birr

B) 160000 Birr

C) 120000 Birr

D) 80000 Birr

C

February Cash Collection

February cash sale and January credit sale

$$200000 \times 0.2 + 100000 \times 0.8 = 40000 + 80000 = 120000$$

86) Which one of the following is correct regarding category of tax ?

- A) Category of tax “B” Annual income is lies Between 500,000 Up to 1000,000
- B) Category of tax “A” Annual income is below 1000,000
- C) Category of tax “C” Annual income is below 1000,000
- D) Category of tax “A” Annual income is lies Between 500,000 Up to 1000,000

A

87) In which of the following companies first recognize and record the acquisition and related liability on their journals is the acquisition and payment cycle?

- A) When company receives the goods or services from the vendor
- B) When company receives the invoice from the vendor
- C) When purchase requisition is received by the accounting department
- D) When purchase order is prepared

A

88) Which audit report indicates that there are no material misstatement in the financial statement ?

- A) Qualified opinion
- B) Unmodified opinion
- C) Adverse opinion
- D) Disclaimer of opinion

B

89) What do credit Term 1/10,n/30 Indicates

- A) A 10% discount is available if the payment is made within 30days
- B) A 1% discount is available if the payment is made within 10days
- C) A 1% discount is available if the payment is made within 30days
- D) A 30% discount is available if the payment is made within 10days

B

- **90) Which of the following statement about users of accounting information is incorrect**
- A) Management is an internal user
- B) Taxing authorities are external user
- C) Present Creditors are external user
- D) Regulatory Authorities are internal user

D

- **91) What is contribution margin ratio**

- A) The percentage of sale revenue that is variable
- B) The percentage of sale revenue that is Fixed Cost
- C) The percentage of sale revenue that is Profit
- D) The percentage of Variable costs that is contribution margin

C

- **92) XYZ Ltd has a 30% ownership interest in a joint venture , how should XYZ account for its investment in the joint venture under the equity method if the joint venture report a profit of 100,000**
- A) Recognized 30,000 as revenue in XYZ income statement
- B) Recognized 100,000 as revenue in XYZ income statement
- C) Recognized 30,000 as reduction in the carrying amount of the investment
- D) Recognized 100,000 as increase in the carrying amount of the investment

A

- **93) The optimal capital structure according to the tradition approach is achieved when**
- A) The cost of debt is minimized
- B) The weighted average cost of capital is minimized
- C) The cost of equity is minimized
- D) The earning per share is maximized

B

- **94) According to MM proposition I with tax s how does the value of a leverage firm related to its capital structure**
- A) The leveraged firm is valued higher due to the tax shield on interest payment
- B) The leveraged firm is valued lower due to the tax shield on interest payment
- C) The leverage firm and unleveraged firm the same value
- D) The leverage firm is valued higher but taxes do not play a role

A

- **95) What is the journal entry to record the write off an uncollectible account using the allowance Method ?**
- A) Debit Allowance for doubtful account credit Account Receivable
- B) Debit bad Debt Expense Credit Allowance for Doubtful account
- C) Debit Account Receivable Credit Allowance For Doubtful Account
- D) Debit bad Expense Credit Account Receivable

A

- **96) Which one the following statement is true regarding the perpetual inventory system ?**
- A) it is only suitable for business with low value high volume inventory system
- B) it updates inventory record continuously after each sale
- C) it required physical inventory counts to determine the cost of good sold
- D) it does not provide real time information on inventory levels

B

• **97) What is the primary source of business risk for a company ?**

- A) Financial leverage
- B) Interest rate inflation
- C) Change in the market
- D) Currency exchange rate

C

- 98) A company has 100 unit of inventory with that cost of Birr 50 per unit on march 1, they purchase 150 unit additional unit of inventory with a cost of birr 60 per unit . On April 1 they sell 200 unit of inventory. Using the FIFO Method What is the cost of good sold ?

- A) Birr 11,000
- B) Birr 12,000
- C) Birr 13,000
- D) Birr 14,000

A

Beginning unit $100 * 50 = 5000$ Birr

Purchase $150 * 60 = 9000$ Birr

Sell $100 * 50 = 5000$

$100 * 60 = \underline{6000}$

11000 CGS

El= $50 * 60 = 3000$

- **99) When Preparing a bank reconciliation bank collection are**
- A) Deducted from the bank statement balance
- B) Added to the balance per books
- C) Add to the bank statement balance
- D) Deducted from the balance per book

B

- **100) ABC Ltd purchased equipment for birr 800,000 by issuing a promissory note which account are affected by this transaction ?**
- A) equipment increases , note payable increase
- B) equipment increases , cash increase
- C) Equipment decrease , note receivable decrease
- D) Equipment decreases , cash decrease

A